

Gold, as tangible asset, 13–14
 Google, 3, 20
 Governance risk, 135–136
 Governance tokens, 28, 35–37, 70
 on Compound, 86–87
 defined, 164
 on MakerDAO, 74
 regulations on, 148
 risk associated with, 136
 on Uniswap, 102–103

H

Haber, Stuart, 12
 Halting problems, 22, 164
 Hash, 164
 Hexadecimals, 164
 Horizontal scaling, 140, 164
 Hussein, Saddam, 14

I

Iceland, 147
 IDO (initial DeFi offering), 62, 165
 Impermanent loss, 52–54, 98, 143, 165
 Incentives, 46–50, 165
 Inefficiency:
 in centralized financial systems, 4
 DeFi solutions for, 58–60
 Inequality:
 and problems with centralized financial systems, 6
 and smart contracts, 16–17
 Infinite loop of code, 22
 Inflation, 14
 Inflationary rewards, 41–42, 60
 Infrastructure, 18–28
 blockchains, 18–20
 cryptocurrencies, 20–21
 dApps, 27–28
 oracles, 23–24
 replaced by smart contracts, 16–17
 smart contract platforms, 21–23
 stablecoins, 24–27
 Initial DeFi offering (IDO),
 62, 165
 Interdependence, of platforms, 54–55
 Interest rates, 80
 and inefficiency, 4
 speculation on, 109
 Internal Revenue Service, 149
 Internet banking, 10
 Invariants, 95–98, 165–166
 Iraq, 14–15

Iraqi Swiss dinars, 14–15, 14^f
 iTokens, 120

J

Jane Street, 144
 Jump, 144

K

Keepers, 49, 59, 79, 166
 Kinks, 81
 Know your customer (KYC), 166

L

Lack of interoperability:
 in centralized financial systems, 5
 DeFi solutions for, 65–68
 Layer 2, 140–141, 166
 Lendf.Me lending protocol, 134
 Lending, 69–95
 Lending rates, 83^f
 Limited access:
 in centralized financial systems, 3–4
 DeFi solutions for, 60–62
 Linear bonding curves, 43^f
 Liquidation, 48, 55–56, 71, 111
 Liquidation penalties, 75
 Liquidity:
 composable, 52
 and flash loans, 112
 minting to create, 71
 and Uniswap, 96–98
 Liquidity pool, 89
 Liquidity provider (LP), 97–98, 142–143,
 166, 179n13
 Loans:
 business, 6
 collateralized, 54–56, 70–72
 flash (*see* Flash loans)
 stable rate, 92
 uncollateralized, 56–57
 Logistic bonding curves, 45^f

M

Mainnet, 166
 Maintenance margins, 115–116
 MakerDAO, 69–77, 73^f–74^f, 77^t–78^t
 Compound supplied by, 80
 governance risk for, 135
 governance token of, 36, 37
 stablecoins created by, 26
 Margins, 114–115
 Margin class, 71